

Claims Procedure CP-12 - Subrogation and Third-Party Recovery Standards

Document: CP-12, revision 2

Effective: 01 March 2026

Owner: Claims Operations, Meridian Mutual

ARTICLE 1 - Purpose and scope

This procedure governs identification, referral and pursuit of subrogation and third-party recovery opportunities across all personal lines claims, including endorsement pack losses.

ARTICLE 2 - Recovery triggers

Loss type	Referral required	Referral deadline
Utility/contractor caused service line failure	Yes	5 business days
Manufacturing defect equipment breakdown	Yes	10 business days
Municipal sewer main failure	Yes	5 business days
Guest-caused damage, home sharing	Optional	15 business days

ARTICLE 3 - Demand letter timing

A demand letter must be issued to the responsible third party within 30 days of the recovery referral, unless legal counsel advises delay for a specific investigative reason, which must be documented in the file.

ARTICLE 4 - Settlement authority for recovery

Recovery settlements below \$10,000 may be accepted by a Field adjuster. Recovery settlements between \$10,000 and \$50,000 require Claims team manager approval. Above \$50,000 requires Large Loss unit approval.

ARTICLE 5 - File documentation requirements

Every subrogation file must retain the failed component evidence log, all correspondence with the responsible party, and the final recovery reconciliation showing gross recovery, legal costs, and net recovery to the file.